Momentum, however, also works well on an absolute or longitudinal basis, in which an asset's own past predicts its future. Moskowitz, Ooi, and Pedersen (2012) decided to call this time-series momentum. In statistics, longitudinal is usually the counterpart to cross-sectional data analysis and would be a more suitable name than time-series momentum, since time series (prices) are the underlying basis for *all* momentum, not just this particular kind of momentum.

I prefer to call what we have here absolute momentum because practitioners are used to hearing about relative and absolute returns. They measure relative returns against other assets or a benchmark, while absolute returns are those returns with respect to just an asset itself. Relative and absolute momentum follows the same logic.

In absolute momentum, we look at an asset's excess return (its return less the return on Treasury bills) over a given look-back period. If the excess return is above zero, then the asset has positive absolute momentum. If the excess return is below zero, then the asset has negative absolute momentum. Absolute momentum is roughly the same as relative momentum applied to an asset paired up with Treasury bills. In simpler terms, absolute momentum asks if an asset has been going up or going down over the look-back period. If it has been going up, then its absolute momentum is positive. If the asset has been going down, then it has negative absolute momentum. Absolute momentum is a bet on the continuing serial correlation of returns, or, in cowboy terms, absolute momentum says, "A horse is easiest to ride in the direction it's already going."

It is possible for an asset to have positive relative momentum if it is strong relative to its peers and to have negative absolute momentum if its own trend has been down. It can also have positive absolute momentum if its trend has been positive and negative relative momentum if another asset has been going up more.

## CHARACTERISTICS OF ABSOLUTE MOMENTUM

According to the renowned trend-following trader Ed Seykota: